

MGT4004 Human Resource Management – Case Study 1

Name: Prapti Siva

Registration no:23BBS0010

Question 1: Diagnosis of HRM Challenges

Identify and critically analyse the major human resource management challenges confronting Meridian. Classify the problems according to whether they arise from organisational growth, managerial behaviour, HR-system weaknesses or inconsistencies in implementation.

Answer:

The company grew really fast from 146 to 782 employees and the HR side just did not keep up. Policies were outdated and there were not enough staff to handle things. Workforce planning was weak and recruitment moved too slow which made any further growth difficult.

Managers often skipped the procedures they were supposed to follow. They hired through people they knew and sometimes changed performance ratings on their own. Letting employees go without proper steps happened too and policies got applied differently depending on the department. This made things feel less fair and left more people unhappy.

It seems like the systems for keeping records and tracking metrics were not really there. Files were incomplete and job descriptions were old. Grievances stayed open for too long and payroll was not connected well to attendance which created risks. Some people might say the gap between what the company said about being people first and what actually happened was the biggest issue. Practices around induction promotions and disciplinary steps varied a lot across plants and that probably led to feelings of bias.

I think stronger rules and better accountability would help but without standard ways of doing things future plans stay at risk. The inconsistencies were easy to miss at first but they added up over time and made decision making weaker overall.

Question 2: Philosophy, Policies, Procedures and Practices

Evaluate the degree of alignment between Meridian's stated HR philosophy and its actual HR policies, procedures and practices. Using evidence from the case, explain the organisational consequences of any inconsistencies identified.

Answer:

Meridian's stated HR philosophy focuses on treating employees as "long-term partners" and promoting fairness, development and mutual respect. However, the actual HR policies and day-to-day practices do not reflect these values. While the philosophy appears strong on paper, many policies are outdated and several important procedures, such as grievance handling, disciplinary action and overtime approval, are followed informally rather than through a standard process.

The case also shows that policies are implemented differently across departments. For example, employees in the design unit receive structured induction, whereas production workers are sent directly to work. Promotion decisions are not explained, leave policies are interpreted differently across plants and managers often bypass HR procedures by recruiting through personal referrals or altering performance ratings. These inconsistencies create perceptions of favouritism and unfair treatment.

The mismatch between philosophy and practice has serious organisational consequences. Employee trust declines when policies are applied inconsistently, leading to higher turnover, unresolved grievances and employee protests. It also exposes the company to legal and compliance risks, as seen in the improper dismissal of the maintenance technician. Unless Meridian aligns its policies, procedures and practices with its stated philosophy, employee commitment and organisational performance can be negatively affected.

Question 3: Design and Capability of the HR Department

Assess whether Meridian's existing HR department possesses an appropriate structure, role and professional capability to support organisational expansion. Recommend changes in the department's responsibilities, staffing or competencies.

Answer:

The HR department at Meridian does not seem ready for how fast the company is growing. Most of their time goes into daily tasks like fixing payroll issues or handling attendance and compliance matters. That leaves little space for anything more forward looking.

There is also confusion about who should do what between HR and the line managers. It leads to arguments over hiring decisions and how performance gets reviewed or how training is arranged and even discipline cases.

The people in HR know the basic labor rules pretty well but they do not have much experience with data tools or new systems and managing big changes in the organisation. That gap stands out because the company plans to add one hundred eighty new staff and bring in an HR information system at the same time.

It feels like HR needs to take on more of the planning work and give better support to managers so the whole place is better prepared. Setting out exactly who is responsible for each area would cut down on the overlap. The team could be strengthened by bringing in or training people who understand analytics and talent acquisition along with system implementation. Outside consultants might help for a short period while the current staff get up to speed.

That kind of shift should lead to stronger workforce planning and more consistent policies. Some parts of the training might take longer than expected though.

Question 4: HR and Line-Management Responsibilities

Develop an appropriate division of responsibility between the HR department and line managers for recruitment, performance management, employee discipline, training, workforce planning and grievance handling. Justify the proposed allocation.

Answer:

Meridian needs to split duties more clearly between HR and line managers. That way the two sides actually support each other instead of getting in each others way. For hiring it seems HR should set the whole process up and handle the legal checks while line managers point out what roles are missing and judge the technical fit of each person. Performance management works the same split. HR builds the system and tries to keep it even across departments. Managers watch the daily work and give feedback as it happens.

Discipline and grievances follow a similar pattern. HR makes sure policies and the law are applied right. Managers pass along the issues and handle the smaller ones before they grow. Training gets shared in the same way. HR spots the gaps and runs the programs then checks if they helped. Managers pick who needs it and help people use what they learned on the job. Workforce planning is led by HR with company numbers but managers add their own forecasts based on day to day needs.

It feels like this setup makes each side more accountable. HR focuses on fairness and rules while managers add what they know from operations. Working together like that might cut

down on conflicts and keep things steadier overall. Maybe it even helps when the company grows later. Some parts still feel a bit unclear though.

Question 5: HR Measurement, Accounting and Audit

Design an HR measurement and assurance framework for Meridian. Recommend suitable HR metrics, priority areas for an HR audit and appropriate uses of human resource accounting. Explain the limitations of the proposed measures.

Answer:

Meridian needs to set up a system to measure how well its Human Resources department is doing. Now the company only keeps track of basic things like the number of employees and what they get paid which is not enough. The Human Resources department should also keep track of things like how many employees leave how often they are absent how long it takes to fill positions how much it costs to hire someone new mistakes with payroll how long it takes to resolve complaints and how many employees finish their training.

By keeping track of these things the people in charge can find problems. Make better decisions to help employees do their jobs better.

The company should also check its Human Resources practices on a basis to find any gaps. This check should make sure that employee records, job descriptions and performance reviews are all up to date and that the company is following its rules. Checking things like hiring people, payroll, discipline handling complaints and making sure everything is done correctly because these are areas where the company is not doing well.

Meridian can also use Human Resource Accounting to figure out how much it costs to hire people train them and replace employees who leave.

Tools to measure Human Resources can show what is happening but not how. So managers should use their judgment along, with the Human Resources data when making decisions instead of just relying on numbers. The Human Resources department will be able to do its job if managers use the data in a smart way.

Question 6: Integrated HR-System Recommendation

Assuming the role of Kavya Menon, propose a prioritised 90-day action plan within the ₹75 lakh budget. Select and justify an appropriate HRIS approach, identify

implementation risks and specify the indicators that should be used to evaluate progress after six months.

Answer:

If I were Kavya Menon, my first focus during the first 90 days would be addressing the key HR issues that are already affecting the company. I would begin by updating employee records, standardising HR policies, and conducting an HR audit to identify gaps in documentation and compliance. Alongside this, I would clearly define the roles and responsibilities of the HR team and line managers and provide basic training so everyone follows the same procedures. These steps can be completed within the available budget and will create a strong foundation for the company's future growth.

Given the ₹75 lakh budget, I would choose Option 1, which includes payroll, attendance, and leave management. Although it does not provide all the features of the integrated cloud-based system, it effectively addresses Meridian's most urgent HR challenges at a much lower cost. The remaining budget can then be invested in cleaning employee data, updating HR policies, and training managers.

There may be a few challenges during implementation. Some managers may resist changing their existing way of working, employee records could contain outdated or inaccurate information, and employees may have concerns about the security of their personal data. After six months, I would evaluate the success of the plan by checking for fewer payroll errors, faster recruitment, quicker resolution of employee grievances, more accurate employee records, and improved compliance with HR policies.

References

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